

Insider Trading: Practical Example

Sarah is a senior investment analyst at a large asset management firm. As part of her research, she meets with executives of Africore Energy, a publicly listed company, to gather insights for her valuation report. During the formal discussions, company executives and directors provide insights into general industry trends, operational challenges, and future growth projections. **They do not disclose any non-public, material information such as undisclosed earnings, pending mergers, or regulatory actions.**

Sarah incorporates several pricing factors into her valuation, including:

- publicly available financial statements and earnings reports;
- commodity price trends affecting energy production costs;
- recent regulatory changes impacting operating margins;
- performance of key competitors in the same market segment; and
- macroeconomic indicators, such as inflation rates and currency fluctuations.

However, during a break, one of the directors takes a phone call within earshot of Sarah and other analysts. In the call, he discusses the foundations of a potential acquisition (i.e. the price to be paid, and how the acquisition could function in principle.) After ending the conversation, the director casually explains that the company is exploring strategic expansion opportunities but does not provide any specifics on the acquisition target, deal timeline, or financial structure.

Using this **mosaic of information**, she issues a **"Buy" recommendation** to clients, stating that Africore Energy's stock is undervalued. She includes in her valuation report **'a strong probability that Africore Energy is positioning itself for expansion'**. Shortly after her report is published, the stock price rises significantly, possibly due to increased speculation.

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